

What to buy: recovered leaders

As of the 2026-10-09 close. S&P 500 and 400.

Buy stocks that **crashed in the last 6 months, climbed back steadily for 3 months, and now lead**. About **1 in 3** of these trades finishes the next month in the top 20% of all stocks for gain over SPY relative to the worst dip along the way. A typical stock does that 1 time in 5. A portfolio of them beat SPY on return for the pain in every period tested.

What to look for

- 1. **It crashed.** At some point in the last 6 months it fell 29% or more from a high. That puts it among the deepest 20% of drops in the market.
- 2. **It climbed back steadily.** For the last 3 months it has stayed close to its rising high, on average within 2.5%. The typical one is now within 3% of its 52-week high.
- 3. **It leads, any one of:** beating its sector by 18% or more over 6 months; relative strength vs SPY within 9% of its 1-year high; or rising 1.4x the market on up days.
- 4. **Not** energy, materials or utilities.
- 5. It works best when SPY is within 5% of its high: 33% hit rate there, 27% when SPY is further down.

How it was traded

Buy at the next open. Stop 8% below entry. Hold 21 trading days.

What to expect

	These setups	Any stock
Top 20% for gain vs worst dip, next month	32%	20%
Still top 20% at 2 and 3 months	30% / 28%	20% / 20%
Average gain over SPY in 21 days	+2.7%	0.0%
Trades that hit the 8% stop	32%	28%

Weak years: 2022 and 2026 so far.

Portfolio vs SPY

Period	These setups: per year / worst drop	SPY
2024 on	43.5% / -18.0%	21.2% / -18.8%
2021 to 2023	16.4% / -16.9%	10.5% / -24.5%
2017 to 2019	12.9% / -15.6%	14.8% / -19.3%

About 2 names held at a time, equal weight.

Firing tonight

Ticker	Company	Last 3 months	52-week high	Last month
IDCC	Interdigital Inc	+27%	-16% below	-4%
PLTR	Palantir Technologies Inc	+61%	at its high	+26%
SWKS	Skyworks Solutions Inc	+31%	-17% below	-9%

One step short: DOCS, ELF, GAP, HPE, MORN, NOW, SMCI, TECH, WEX. RGLD qualifies but sits in an excluded sector.

Skip

- The same pattern in energy, materials or utilities: 2% hit rate since 2024.
- A stock that spiked, then fell back to the bottom of its 1-month range: 8% since 2024.
- A crash that repaired without leading: 18%.

Who stops you out

The biggest daily movers, the names that stopped out most last year, and the highest-beta names hit the 8% stop about 47% of the time. The calmest fifth hit it about 17%.

Tiebreakers, worth a point or two each

A 3-year history of good runs; an earnings report due within the month; a strong record in this same month in prior years; holding up on SPY down days.

More than 170 other measures, including momentum, volume, volatility and short interest, did not change the odds.